deposits they mobilize, thereby providing a saving option for people willing to accept higher risk for higher reward.[1] While the existence of such a saving avenue to cater to higher-risk segments may be appropriate, it does pose problems in a country like India with widespread poverty and low awareness levels. There have been several cases where low-income households have been lured by the high returns offered by NBFC deposits only to have lost all their money as the NBFC defaulted on paying interest or even returning the principal. Besides, in the absence of sufficient vigil, a number of 'fly by night' operators, masquerading as NBFCs, have mobilized money from gullible people and run away with it.

As a measure of consumer protection therefore, the Reserve Bank has decided that deposit mobilization by NBFCs should be gradually minimized and eventually eliminated so that deposit-taking remains restricted to banks which are more tightly regulated. The Reserve Bank has, in fact, not accorded registration to any new NBFC for deposit mobilization since 1997, and has even asked already licensed NBFCs to scale down deposit mobilization. To get a perspective on the share of NBFCs in the retail deposit space, note that of over 12,000 NBFCs registered with the Reserve Bank as of May 2015, only about 220 were authorized to collect deposits. These deposit-taking NBFCs are also subject to more stringent Reserve Bank regulation than their non-deposit-taking counterparts.

The perception about the Reserve Bank's alleged bias against NBFCs may also have been shaped in part by the general antipathy at the global level towards shadow banks in the aftermath of the global financial crisis. Shadow banks had a sizeable role to play in abetting, if not actually causing, the crisis as banks transferred their risky assets to these shadow banks, thereby freeing up space for themselves for further lending which led to an unsustainable debt build-up and the near-total implosion of the global financial system. Unsurprisingly, one of the big post-crisis reform initiatives is to plug this loophole by bringing shadow banks too under the regulatory purview, and thereby minimizing the chances of contagion from shadow banks to regular banks.